

When you do your research, it can also help to consider things like track records and media mentions. Looking at the track record of a company's CEO or the track record of a mutual fund manager can provide you with additional insights. A quick Google search or LinkedIn profile visit can tell you about their educational background and investment experience, which is very important given that they are managing millions and even billions of dollars of other people's hard-earned money, yours included. You also want to keep an eye on what's being mentioned in the news when it comes to the company or fund you are interested in, as this could also provide you with valuable insights as you make your investment decisions.

EXTRA CREDIT: MORE INVESTING TERMS AND DEFINITIONS

There are some additional terms and definitions worth knowing as you start using online research tools through your brokerage firm or on sites like Google Finance, Yahoo Finance, and so on. They include the following:

Earnings per share (EPS). EPS is one way to track growth over time. It measures a company's profit divided by the number of shares available for trading. Basically, EPS tells you how profitable each share of a company is.^{[1](#)}

Price-to-earnings ratio (P/E Ratio). This is the ratio of a company's stock price to the company's earnings per share. The ratio is used in valuing companies. This divides the stock's share price by the amount of earnings it has distributed in the last 12 months (per share). A high price/earnings ratio indicates that investors are expecting more growth in the future. Because different industries have different prospects for growth, this indicator is mainly useful when comparing companies within the same industry.^{[2](#)}

Price/book ratio. This is a financial ratio used to compare a company's current market price to its value as entered in the company's books. This ratio divides a stock's share price by the total value of all the